

Q.1 Imposition of an output tax on all firms in a competitive industry will result in:

- A. The entry of new firms into the industry.
 - B. A downward shift in each firm's marginal cost curve.
 - C. A leftward shift in the market supply curve.**
 - D. A downward shift in each firm's average cost curve.
-

Q.2 Which of the following costs always increase(s) as output increases?

- A. Total Variable cost**
 - B. Fixed Cost
 - C. Average Fixed Cost
 - D. Average Variable Cost
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Q.3 The producer surplus for a market can be measured as:

- A. Area under the supply curve to the left of equilibrium output.
 - B. Area under the demand curve to the left of equilibrium output.
 - C. Area between the equilibrium price line and the supply curve to the left of equilibrium output.**
 - D. Vertical intercept of the supply curve.
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Q.4 A firm never operates:

- A. At the minimum of its AVC curve.**
 - B. On the downward-sloping portion of its ATC curve.
 - C. On the downward-sloping portion of its AVC curve.
 - D. At the minimum of its ATC curve.
-

Q.5 The shape of long-run supply curve of a constant-cost industry is:

- A. Downward-sloping.
 - B. Upward-sloping.
 - C. Horizontal.**
 - D. Vertical.
-

Q.6 In a constant-cost industry, price always equals:

- A. LRAC and minimum LRMC.**
 - B. LRMC and LRAC, but not necessarily minimum LRAC.
 - C. LRMC and minimum LRAC.
 - D. Minimum LRAC, but not LRMC.
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Q.7 Producer surplus is measured as the:

- A. Area under the demand curve above market price.
 - B. Area under the demand curve above the supply curve.
 - C. Area above the supply curve up to the market price.**
 - D. Entire area under the supply curve.
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Q.8 When the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output is called as:

- A. Economies of scope
 - B. Diseconomies of scale
 - C. Economies of scale**
 - D. Diseconomies of scope
-

Q.9 In a perfectly competitive firm, the profit maximizing output is found where:

- A. $\text{Price} = \text{MR}$ and MC is constant.
 - B. $\text{MC} = \text{MR}$ and MC is increasing.**
 - C. $\text{MC} = \text{MR}$ and MC is decreasing.
 - D. $\text{Price} = \text{MR}$ and MC is decreasing.
-

Q.10 The sum over all units produced of the difference between market price of the good and firm's marginal cost of production is:

- A. Marginal revenue.
 - B. Maximum profit.
 - C. Total revenue.
 - D. Producer surplus.**
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Q.1 Which of the following costs always increase(s) as output increases?

- A. Fixed Cost
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 - C. Total Variable cost**
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Q.2 The ratio of the wage rate to rental cost of capital is called:

- A. Slope of indifference curve
 - B. Slope of production function
 - C. Slope of isocost**
 - D. Slope of isoquant
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Q.3 The supply curve for a competitive firm is:

- A. The upward-sloping portion of its MC curve.
 - B. Its MC curve above the minimum point of the AVC curve.**
 - C. Its entire MC curve.
 - D. Its MC curve above the minimum point of the ATC curve.
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Q.4 What happens in a perfectly competitive industry when economic profit is greater than zero?

- A. New firms may enter the industry.
 - B. Firms may move along their LRAC curves to new outputs.
 - C. Existing firms may get larger.
 - D. All of the given options.**
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Q.5 When the joint output of a single firm is greater than the output that could be achieved by two different firms each producing a single output is called as:

- A. Economies of scale
 - B. Diseconomies of scale
 - C. Diseconomies of scope
 - D. Economies of scope**
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Q.6 In the long run under perfect competition a firm produces at a point where:

- A. Price is greater than long run marginal cost
 - B. Price is greater than long run average cost
 - C. Price is equal to long run average cost**
 - D. Price is less than long run average cost
-

Q.7 Assume that a firm's production process is experiencing increasing returns to scale over a broad range of outputs. Long run average costs over this range of output will tend to:

- A. Remain constant.
 - B. Fall to a minimum and then rise.
 - C. Decline.**
 - D. Increase.
-

Q.8 In the long run, which of the following is considered a variable cost?

- A. All of the given options.**
 - B. Expenditures for wages.
 - C. Expenditures for raw materials.
 - D. Expenditures for capital machinery and equipment.
-

Q.9 Which of the following is not an example of joint production?

- A. University--Teaching and research
 - B. Chicken farm--poultry and eggs
 - C. textile industry—garments and shoes**
 - D. Automobile company--cars and trucks
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Q.10 Which of the following measures the degree of economies of scope (SC)?

- A. $SC = (C(Q1) + C(Q2) - C(Q1, Q2)) / C(Q1)$
 - B. $SC = (C(Q1) - C(Q2) - C(Q1, Q2)) / C(Q1, Q2)$
 - C. $SC = (C(Q1) + C(Q2) - C(Q1, Q2)) / C(Q1, Q2)$**
 - D. $SC = (C(Q1) - C(Q2) - C(Q1, Q2)) / C(Q1)$
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Q.1 Ali knows average total cost and average variable cost for a given level of output. Which of the following costs can not be determined from this information?

- A. Fixed cost
- B. Marginal Cost**
- C. Variable cost
- D. Average fixed cost

Q.2 Assume that a firm spends Rs. 1000 on two inputs, labor (L) graphed on the horizontal axis and capital (K) graphed on the vertical axis. When the wage rate is Rs. 100 per hour and the rental cost of capital is Rs. 200 per hour, the equation of the Isocost line is:

- A. $1000 = 200(L+K)$
- B. $1000 = 200L + 100K$
- C. $1000 = 100L + 200K$**
- D. $1000 = 10(100L+200K)$

Q.3 In the long run, if a firm is facing higher average cost than the marginal cost; then certainly per unit total cost will:

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- A. The upward-sloping portion of its MC curve.
- B. Its MC curve above the minimum point of the ATC curve.
- C. Its entire MC curve.
- D. Its MC curve above the minimum point of the AVC curve.**

Q.6 The long-run supply curve of an increasing cost industry is:

- A. Upward sloping.**
- B. Horizontal.
- C. Downward sloping.
- D. Vertical.

Q.7 Consumer surplus measures:

- A. The extra amount that a consumer must pay to obtain a marginal unit of a good or service.
 - B. Gain or loss to consumers from price fixing.
 - C. The benefit that consumers receive from a good or service beyond what they pay.**
 - D. The excess demand that consumers have when a price ceiling holds prices below their equilibrium.
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Q.8 Suppose output of two automobile firms, one is producing cars and other is producing trucks, is less than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

- A. Decreasing returns to scale.
 - B. Economies of scale.
 - C. Economies of scope.**
 - D. Increasing returns to scale.
-

Q.9 Economies of scope refer to:

- A. Multiproducts firm.**
 - B. Changes in technology.
 - C. Single product firm that utilize multiple plants.
 - D. Long run production function.
-

Q.10 Revenue is equal to:

- A. Price times quantity minus total cost.
 - B. Price times quantity minus average cost.
 - C. Price times quantity.**
 - D. Price times quantity minus marginal cost.
-

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 - B. Its entire MC curve.
 - C. The upward-sloping portion of its MC curve.
 - D. Its MC curve above the minimum point of the AVC curve.**
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Q.2 A firm maximizes profit by operating at the level of output where:

- A. Average revenue equals average variable cost.
 - B. Average revenue equals average cost.
 - C. Total cost equals marginal cost.
 - D. Marginal revenue equals marginal cost.**
-

Q.3 What happens in a perfectly competitive industry when economic profit is greater than zero?

- A. New firms may enter the industry.
 - B. All of the given options.**
 - C. Existing firms may get larger.
 - D. Firms may move along their LRAC curves to new outputs.
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 - C. Increasing returns to scale.
 - D. Economies of scope.**
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- A. Be at minimum level
 - B. Remain constant
 - C. Fall
 - D. Rise**
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Q.9 Which of the following measures Economies of scale?

- A. Firm's expansion path
 - B. Producer surplus
 - C. cost-output elasticity**
 - D. Slope of Isocost line
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Q.10 Which of the following measures the degree of economies of scope (SC)?

- A. $SC = (C(Q1) - C(Q2) - C(Q1,Q2)) / C(Q1,Q2)$
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Q.1 Which of the following is included in economic depreciation to make it equal to the user cost of capital?

- A. Interest Rate + Value of Capital
 - B. Interest Rate * Value of Capital**
 - C. Interest Rate - Value of Capital
 - D. Interest Rate / Value of Capital
-

Q.2 A firm maximizes profit by operating at the level of output where:

- A. Total cost equals marginal cost.
 - B. Marginal revenue equals marginal cost.**
 - C. Average revenue equals average cost.
 - D. Average revenue equals average variable cost.
-

Q.3 The long-run supply curve of a decreasing cost industry is:

- A. Upward sloping.
 - B. Horizontal.
 - C. Vertical.
 - D. Downward sloping.**
-

Q.4 Assume that a firm's production process is experiencing increasing returns to scale over a broad range of outputs. Long run average costs over this range of output will tend to:

- A. Decline.**
 - B. Fall to a minimum and then rise.
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Q.5 What happens in a perfectly competitive industry when economic profit is greater than zero?

- A. Existing firms may get larger.
 - B. Firms may move along their LRAC curves to new outputs.
 - C. All of the given options.**
 - D. New firms may enter the industry.
-

Q.6 Agricultural products are produced in perfectly competitive market because:

- A. All of the given options are correct.**
 - B. Firms are price taker.
 - C. All firms are producing perfect substitutes.
 - D. There are large producers/firms of agriculture products.
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Q.7 Suppose output of two automobile firms, one is producing cars and other is producing trucks, is less than the output of another automobile firm producing both cars and trucks jointly. We can conclude that the production process involves:

- A. Economies of scope.**
 - B. Decreasing returns to scale.
 - C. Economies of scale.
 - D. Increasing returns to scale.
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Q.8 Which of the following is correct?

- A. The short run industry supply curve is the vertical summation of each firm's short-run average cost curve.
 - B. The short run industry supply curve is the horizontal summation of each firm's short-run supply curve.**
 - C. The short run industry supply curve is the horizontal summation of each firm's short-run average cost curve.
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- A. $1000 = 200L + 100K$
- B. $1000 = 10(100L + 200K)$
- C. $1000 = 200(L + K)$
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Q.2 All of the following are characteristics of perfectly competitive markets EXCEPT:

- A. There are large numbers of firms.
- B. Firms are not producing homogenous products.**
- C. Firms are price taker.
- D. There are no significant barriers on entry and exit of firms.

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- B. Entire area under the supply curve.
- C. Area above the supply curve up to the market price.**
- D. Area under the demand curve above the supply curve.

Q.6 The additional revenue from producing one more unit of output is called:

- A. Slope of average revenue
- B. Average revenue
- C. Total revenue
- D. Marginal revenue**

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Q.3 Cost-output elasticity can be calculated as:

- A. AC/MC
 - B. $(AC)(MC)$
 - C. MC/AC .**
 - D. $(AC)^2(MC)$
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Q.5 A firm in a perfectly competitive market can not affect market price by changing the amount of output because:

- A. The firm supplies a different good than its rivals.
 - B. The short run market price is determined solely by the firm's technology.
 - C. The firm's output is a small fraction of the entire industry's output.**
 - D. The market price is determined (through regulation) by the government.
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Q.6 The long-run supply curve of an increasing cost industry is:

- A. Horizontal.
 - B. Vertical.
 - C. Downward sloping.
 - D. Upward sloping.**
-

Q.7 Which of the following is correct?

- A. Accounting profit = Revenue(R) + labor cost (wL)
 - B. Accounting profit = Revenue(R) – labor cost (wL) * Quantity
 - C. Accounting profit = Revenue(R) + labor cost (wL) * Quantity
 - D. Accounting profit = Revenue(R) – labor cost (wL)**
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Q.8 The ratio of the wage rate to rental cost of capital is called:

- A. Slope of isoquant
 - B. Slope of production function
 - C. Slope of isocost**
 - D. Slope of indifference curve
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- C. A downward shift in each firm's average cost curve.
- D. A downward shift in each firm's marginal cost curve.

Q.9 Suppose automobile company is producing cars and trucks. If there are economies of scope, the product transformation curve between cars and trucks will be:

- A. A straight line.
- B. Bowed outward (concave).
- C. Bowed inward (convex).**
- D. A rectangle.

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